

and low payout ratios—are Graham’s net current asset value rule and the enterprise multiple. Next we examine the returns to both, and apply them to identify deeply undervalued activist targets.

## **CIGAR BUTTS, NET CURRENT ASSETS, AND LIQUIDATIONS**

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David Einhorn founded Greenlight Capital in 1996 with just \$900,000 under management. He found early success with the stock of a small Graham net net, C. R. Anthony, a retailer that had recently emerged from bankruptcy. Listed on the Nasdaq, little C. R. Anthony traded for half its \$36 million in net current asset value. Einhorn put 15 percent of his fund into C. R. Anthony—about \$135,000—at the end of May 1996, Greenlight’s first month of operation. Fortuna smiled on Einhorn when Stage Stores, Inc. approached the company about a buyout shortly after Einhorn initiated the position. By the end of the year C. R. Anthony had returned 500 percent on Einhorn’s 15 percent holding, and Greenlight, which returned 37 percent for the year, was on its way with \$13 million under management.<sup>6</sup> While Einhorn’s C.R. Anthony returns were exceptional, the returns to stocks meeting Graham’s net current asset value criteria are typically very high. Recall from Chapter 2 that Graham estimated that his net net strategy had generated an average yearly return of 20 percent over the 30-year life of his investment management firm Graham-Newman, which turns a \$10,000 investment into \$2,374,000. Figure 10.1 shows the returns to Graham’s net current asset value criteria over the full period of the data from December 1970 to December 2013.

At a compound annual growth rate of 38.7 percent, the net current asset value strategy turns \$10,000 into an astonishing \$12.7 billion in 44 years, while the comparable Small Firm Index, at a compound rate of 19.7 percent, can manage only \$22.4 million. The compound returns to the net current asset value strategy are *unbelievable* in both senses of the word—they are as astronomical as they are unachievable. The problem with this strategy is that it is, in Graham’s words, “severely limited in its application” because net current asset value stocks are too small, illiquid, and infrequently available. They tend to disappear in a pervasive bull market, and only become available in quantity at bear-market lows. As it does not need to actually buy the shares, the simulation in Figure 10.1 substantially overstates the capital that could be practically invested in the strategy. If we assume that the amount of capital invested in each net current asset value opportunity is equal, it would be very difficult to invest more than \$1 million in 2014. Einhorn’s \$135,000 position likely represented most of